

to drive efficiencies across specific functions and processes.

Another important use case of Gen AI is cybersecurity. Due to the fast-improving stature of India across various performance dimensions, it is featured among the top 10 destinations facing cyberattacks. According to the Data Security Council of India (DSCI), cybersecurity defenders detected 400 million instances of malware spread across a network of 8.5 million endpoints in 2023. In cybersecurity, Gen AI trained on enormous data sets, including both malware-related and synthetic data, can predict cyber threats, simulate security scenarios and pinpoint anomalies—providing a richer, real-time defence strategy. CISOs need to be particularly

interactions leading to reputational risks if not controlled and governed appropriately.

Data security: The most critical responsibility of a bank is to protect Personally Identifiable Information (PII) data of its customers and partners. While most LLM models are stateless and do not store the prompts, it is imperative to either create private LLM models or cautiously use open source LLM models in air-tight containers in the banks' infrastructure.

Infrastructure: Running LLMs require high-performance servers or cloud computing resources with Graphical Processing Units (GPUs) or Tensor Processing Units (TPUs) to support overwhelming computational demands of model training which can have cost/budget

to realise the digital value of Gen AI. But there is a need to focus on putting together guardrails without either complicating or stifling the innovation required to push the cause of Gen AI. Tenets such as fairness, transparency, accuracy, consistency, data privacy, explainability, accountability, robustness, monitoring, updating, and the imperative of human oversight have been much debated in regulatory circles and could soon be formulated as policy. Further, The Telecom Regulatory Authority of India (Trai) presented a report a few months ago stating that an independent statutory authority may be deputed, and use case-based risk-regulatory framework may be formed. With respect to the concerns on usage of proprietary data, new upcoming AI regulations may mandate organisations to ensure bias-free AI model training.

Further, there could soon be customer protection-oriented regulations related to possibility of deep-fakes and synthetic content as well as instructions for transaction on B2C/B2B apps. It will be imperative that AI models undergo sandbox and stress testing before release. While the recently passed Digital Personal Data Protection Bill is a positive first step in ensuring AI readiness, it will be interesting to see how India transitions from established policy position and recommendation phase to that of implementation.

To sum up, it is portended that India will soon establish a leadership position in the global rankings of Gen AI adoption. And, in this endeavour, the banking sector too is well-poised to use Gen AI and leapfrog into the future.

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THERE IS A NEED TO FOCUS ON PUTTING GUARDRAILS FOR AI WITHOUT STIFLING INNOVATION

cautious and proactive in their AI cyber strategy as AI can equally equip the hackers as well with Ransomware-as-a-Service (RaaS) models to notoriously lower the threshold levels for launching malicious attacks.

While the Indian banking sector has started seeing green shoots of Gen AI applications and use cases, enterprise-scale adoption will be a bumpy road full of challenges and bouts of adrenaline spikes.

Hallucinations: Gen AI hallucinations can lead to the generation of factually inaccurate or misleading information, which can adversely impact decision-making, communication and customer

implications.

Copyright infringement and data leakage: Lack of enterprise-wide AI governance controls and guardrails can lead to employees ingesting confidential strategies and sensitive data sets into LLMs, which can lead to leakage of proprietary information, which is already raising red flags in terms of the misuse of proprietary data. The need to use large training data sets simply cannot be done away with, if we are to utilise the capabilities of LLMs. So, an appropriate governance model precluding proprietary third-party data needs to be put in place.

Indian policymakers will play a key role in developing guardrails and a robust AI regulatory framework